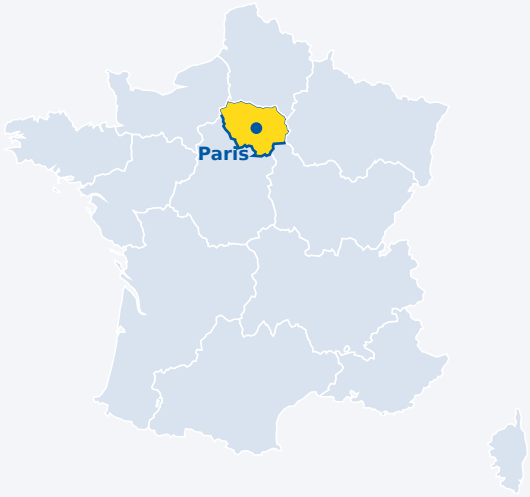
REASONING MAP

Question. Do Article 8 and Article 9 funds (SFDR) actually reduce emissions in the real economy, or do they only shift the problem?

France at a glance, as of 27 Oct 2026



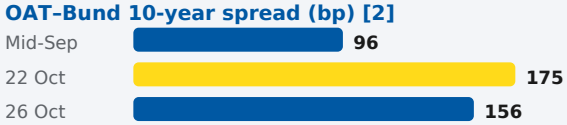
Schematic only. Île-de-France (yellow): where allocation decisions are taken; their effects play out in the regions.

Aa3 · outlook negative
Moody's rating on France, affirmed 23 Oct 2026 [1]

≈ 155 bp
OAT–Bund 10-year spread on 26 Oct 2026 [2]

1 May 2026
EU–Mercosur interim trade deal applied provisionally [3]

OAT–Bund 10-year spread (bp) [2]



1 · Transparency ≠ impact

SFDR sets disclosure rules, not emissions targets. Article 8 'promotes' environmental or social characteristics; Article 9 targets a 'sustainable investment objective'.

Course, Module 2 (SFDR, PAI, DNSH)

2 · Cost of capital

French sovereign risk moved from about 96 bp to about 175 bp in five weeks [2]. Prices react fast, but only additional capital changes real projects.

[2]; course, Module 3 (additionality)

3 · Displacement

EU–Mercosur has applied provisionally since 1 May 2026; France voted against in the Council [3]. Emissions may move abroad: my inference, not yet tested.

[3] (inference is mine)

My thesis. No, not automatically. SFDR improves transparency, not impact. The effect on emissions depends on additionality, shareholder engagement, and whether trade policy moves emissions elsewhere.

SUMMARY

A fund classified as Article 8 or 9 does not, on its own, prove that it reduces real-economy emissions. SFDR is first a transparency obligation: a declared strategy, principal adverse impact (PAI) indicators and the 'do no significant harm' (DNSH) principle. This helps savers compare funds, but it describes what a fund says it does, not what its capital changes.

The strongest case for a real effect runs through the cost of capital. The OAT–Bund spread rose from about 96 bp in mid-September to about 175 bp on 22 October [2], and Moody's kept France at Aa3 with a negative outlook [1]. A premium of this size changes what borrowers pay. But it only helps the climate if the money is additional: buying listed shares moves a price, not a project.

The second argument is displacement, which is the heart of the question. The EU–Mercosur interim agreement has applied provisionally since 1 May 2026 [3]. My inference, which I have not tested: if cheaper imports replace domestic production, part of the emissions moves abroad, so a portfolio can look greener while the problem is only relocated.

My view: SFDR is a necessary but insufficient tool. It makes claims comparable, but an effect on emissions needs additional capital, engagement and PAI data tied to measured trajectories. What would change my mind: if published PAI data show, over several years, that Article 8/9 portfolios cut emissions faster than conventional funds, after allowing for displacement through trade.

SOURCES

[1] Moody's affirms France at Aa3, negative outlook (23 Oct 2026): cnbc.com/2026/10/23/moodys-holds-steady-on-frances-credit-rating-as-country-grapples-with-turmoil-and-higher-yields.html
[2] OAT–Bund spread: ideal-investisseur.fr/en/markets/oat-bund-spread.html (156.4 bp, 26 Oct 2026); fxstreet.com/analysis/france-tests-the-euros-nerve-what-the-oat-spread-is-telling-fx-traders-202610270406 (about 96 bp mid-Sep; 174.6 bp close 22 Oct). Sources differ by a few bp.
[3] Intereconomics, 'From Signature to Standstill' (21 Oct 2026): intereconomics.eu/contents/year/2026/number/3/article/from-signature-to-standstill-the-future-of-the-eu-mercosur-agreement.html ; Council vote, 9 Jan 2026: intereconomics.eu/contents/year/2026/number/3/article/eu-mercosur-trade-agreement-from-negotiations-to-application.html
Course: Sabrine Aouida, 'Skema Module 1 Sustainable Finance and impact investing', Modules 1 to 3. Check SFDR (EU) 2019/2088 against the official text.